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# Understanding the Statement of Financial Position

**Exam code:** 0450, 0986 & 0264, 0774

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## What is the statement of financial position?

- **The statement of financial position shows the financial structure of a business at a specific point in time**
  - It identifies a business's **assets** and **liabilities** and specifies the **capital** (equity) used to fund the business operations
- The statement of financial position is also known as the **balance sheet**
  - It is called the balance sheet, as **net assets** are **equal** to the **total equity –** the net assets and equity balance

### A statement of financial position

**Stuck on something?**
Ask questions and get help with exactly what you're revising.
Got it

| | | |
|---|---|---|
| Buildings | 365,000 | |
| Machinery | 125,000 | 490,000 |
| **Current assets** | | |
| Inventory | 43,200 | |
| Trade receivables | 12,900 | |
| Cash | 7,900 | 64,000 |
| **Total assets** | | 554,000 |
| **Current liabilities** | | |
| Trade payables | 22,700 | |
| **Non-current liabilities** | | |
| Loan | 146,000 | |
| **Net assets** | | 408,000 |
| **Capital employed** | | |
| Equity | 128,000 | |
| Retained profit | 280,000 | 408,000 |

*The statement of financial position shows assets and liabilities of a business and how the business is funded*

Help me understand

# Assets

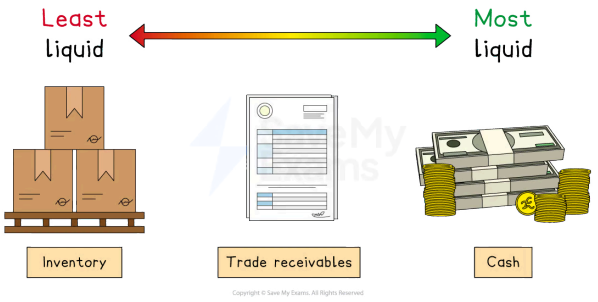
- Assets are items **owned by a business**
  - There two type, namely, non-current assets and current assets

## Non-current assets

- **Non-current assets are owned by a business in the long-term, usually a period more than 12 months**
  - Examples include **tangible** assets such as buildings, land, machinery and vehicles
  - Non-current assets may be **intangible**, such as patents, goodwill or brand value

## Current assets

- **Current assets include cash and items that can be turned into cash relatively quickly, usually within 12 months**
  - The three main types of current assets are **cash**, **trade receivables** and **inventory**




*Cash is the most liquid current asset, while inventory is the least liquid*

before it can be used for payment, it must be sold

# Liabilities

- **Liabilities are amounts of money owed by a business (debts)**
  - **Non-current liabilities** are amounts owed that do not need to be paid back for at least 12 months
    - For example, long-term loans such as **mortgages**
  - **Current liabilities** are amounts owed that must be repaid within 12 months
    - For example, **creditors** (trade payables) and bank **overdrafts**

# Capital employed

- **Capital employed is the total amount of money that a business uses to operate and grow**
- It usually includes:
  - **Equity**
    - Money invested by the owners or shareholders.
  - **Non-current liabilities**
    - Long-term loans or borrowings
- In the statement of financial position, capital employed is **equal to net assets**

*Capital employed is equal to net assets*

# Calculations based on the statement of financial position

**Statement of financial position**

**Chagny Rentals Ltd at 31st December 2024**

| | | |
|---|---|---|
| **Current assets** | | |
| Inventory | 43,200 | |
| Trade receivables | 12,900 | |
| Cash | 7,900 | 64,000 |
| **Total assets** | | 554,000 |
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| Trade payables | 22,700 | |
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*Chagny Rentals Ltd's statement of financial position at 31st December 2024*

## 1. Calculating total assets

- Total assets are the **sum of non-current assets and current assets**
- This figure represents **everything a business owns** at a specific point in time

### Worked Example

In this case, Chagny Rentals Ltd has total assets of

$$= \$490,000 + \$64,000$$

$$= \$554,000$$

## 2. Calculating total liabilities

- Total liabilities are the **sum of current liabilities and non-current liabilities**
- This figure represents **everything a business owes** at a specific point in time

### Worked Example

In this case, Chagny Rentals Ltd has total liabilities of

$$= \$22,700 + \$146,000$$

$$= \$168,700$$

- Working capital is the **money a business has available for day-to-day activities**, such as paying bills, buying stock and covering wages
- It is calculated using the formula

$$\text{Working capital} - \text{Current assets} - \text{Current liabilities}$$

### Worked Example

In this case, Chagny Rentals Ltd has working capital of

$$= \$64{,}000 - \$22{,}700$$

$$= \$41{,}300$$

It is likely to be able to meet its financial obligations because it has **more current assets than current liabilities**

# Decisions based on the statement of financial position

- The statement of financial position can be used to answer important questions that may support business decisions

| Question | Based on | Explanation |
|---|---|---|
| **Can the business pay short-term debts?** | • Working capital | • **If working capital is too low**, the business may struggle with day-to-day payments |
| **Should the business invest in new equipment?** | • Non-current assets and capital employed | • Helps assess if the business has enough long-term funds for investment |
| **Is the business taking on too much debt?** | • Total liabilities | • **High debt can increase risk** and interest costs |
| **Is the business growing?** | • Compare with previous statements | • Increases in **assets and capital** may show growth |

### Examiner Tips and Tricks

Remember, a statement of financial position is a **snapshot** of assets and liabilities at one point in time, unlike a profit and loss statement which shows performance over a period of time, usually a year

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